Countries External Debt as on June-2018				
Rank	**Country/Region**	**External debt (USD Millions)**	**Per capita US dollars**	**% of GDP**
1	USA	21,171,000	58,200	98
2	UK	8,475,956	127,000	313
3	France	5,689,745	87,200	213
4	Germany	5,398,267	65,600	141
7	Japan	3,586,817	28,200	74
13	China	1,710,625	1,200	14
21	Russia	537,458	3,700	40
22	India	529,000	380	20
(Source: World Bank Report and India's External Debt as at the end of March 2018 – RBI REPORT DATED 29-06-2018)				

9.10.3. Causes for the Increase in Public debt

The causes for enormous growth of public debt may be studied under the following sub-headings:

1. War and Preparation of war

Waging war has become one of the important causes for incurring debts by the governments. In modern times, the preparation for war and nuclear defence programmes take away the major share of the government's revenue and so it incurs debt.

2. Social obligations

Modern states are considered to be 'Welfare States' and they have to undertake many social obligations like public health, sanitation, education,insurance, transport and communications, etc., besides providing the minimum necessaries of life to the citizens of the country. To finance these, the State has to incur a heavy public debt.

3. Economic Development and Deficit

The government has to undertake many projects for economic development of the country. Construction of railways, power projects, irrigation projects, heavy industries, etc., could be thought of only by means of mobilising resources in the form of public debt. Due to heavy public expenditure, the governments always face deficit budget. Such deficits have to be financed only through borrowings.

4.Employment

Most of the governments of modern days face the problem of unemployment and it has become the duty to solve this by making huge public expenditure. To solve the unemployment problem, and to fight recession, the government has to make

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